TRANSACTION SERVICES WORKPLAN

Unless otherwise noted, our work will concentrate on consolidated financial information for the last two fiscal years ending December 31, 2021 and 2022 ("FY21", "FY22") and the latest trailing twelve month period (i.e. TTM Jun-23).

Financial due diligence

1. Overview

Read available information in dataroom and conduct a call with Target's officers in order to develop an understanding of Target, including its:

- Organization structure and Management reporting relationships;
- Business strategy and KPIs used to monitor the business; and
- Finance function and financial reporting framework including the financial planning and analysis function.

2. Consistency of accounting policies

Read Target's financial statements and discuss them with Management to gain an understanding of Target's accounting policies and practices including:

- Significant accounting policies including revenue recognition and percentage of completion method of accounting;
- Significant accounting estimates (i.e. bad debt, inventory obsolescence, warranty provisions, inventory obsolescence, rebates etc.);
- Accounting for past acquisitions including consistency of policies across recent acquisitions; and
- Recent or contemplated changes to accounting principles, procedures or estimates and provisions.

3. Sell-side FDD assessment

Read Plante Moran, PLLC's ("Plante Moran") sell-side due diligence report and conduct a call with Management / Plante Moran to inquire about the nature and rationale of Management / Plante Moran proposed adjustments to EBITDA and net working capital (i.e. pre-acquisition adjustments, transaction fees, POC adjustments, inventory adjustments, self-insurance, pro-forma rebates, non-recurring transactions etc.). Comment on validity of such adjustments.

4. Quality of earnings

Based on information provided in the dataroom materials and calls with Management / Plante Moran, propose potential adjustments to historical earnings before interest taxes, depreciation, and amortization ("**EBITDA**") by considering:

- The validity of adjustments identified by Target Management and their advisors;
- The pro forma impact of recent acquisitions / acquisitions under LOI;
- The pro forma impact of self-insurance;
- The impact of changes in work in progress and accrued / deferred income estimates on Target's earnings;
- Impact of provisions (including bad debt provisions, claims on contracts and loss-making contracts), Management estimates or adjusting entries on reported results;
- Operational cash flows not captured within EBITDA (e.g. capitalized leases);
- Related party transactions, (if any); and
- Any other large, unusual or non-recurring events or transactions that may have distorted results.

Supporting analysis to quality of earnings

i. Revenue, revenue recognition and margins

Obtain and read an analysis of Target's monthly and annual financial statements including revenue, direct expenses and margins, and inquire about:
- Revenue and margins by business unit (e.g. AAA, BDR, Davco, DPR, FRR, IRG, PWR, TORC, WSR);
- Revenue and margins by geography (e.g. by state);
- Organic vs. inorganic growth;
- Revenue and margins by key customers / type of service / project size / key projects / pricing mechanism (T&M, fixed price, cost plus, etc.);
- Revenue seasonality;
- Significant profit / loss projects;
- Customer terms, incl. pricing / contracting, change orders; and
- Project budgeting / costing process and contingency buffer estimates.

ii. **Percentage of completion**
- Inquire about POC and typical gross profit recognition pattern (i.e. allocation of profits between project phases); and
- Normalize POC and performance revenue and gross margin, including fluctuations due to project close-out gains and losses, at the project level based on the latest available estimate.

iii. Operating expenses

Obtain and read an analysis of Target's operating expenses and inquire about:
- Headcount and personnel costs including salaries, benefits, commissions, incentive plans;
- Insurance / self-insurance;
- Changes in overhead base;
- Any key supplier arrangements (i.e. volume rebates, minimum commitments etc.);
- Facility costs, including lease contracts which are close to expiry and related renewal / relocation plans;
- Unusual and extraordinary items; and
- Other income and expenses, including composition and non-recurring or unusual fluctuations as well as and matching with revenue recognition period.

5. Working capital

- Comment on working capital trends / seasonality for FY21, FY22 and TTM; and
- Consider the impact of historical acquisitions and potential non-recurring items.

Supporting analysis to working capital

i. Accounts receivable

Obtain and read an analysis of Target's receivables and inquire about:
- Accounts receivable aging and days outstanding;
- Credit terms (including any special terms);
- Trade and non-trade balances; and

- Historical bad debt experience, allowance for uncollectible accounts and write-offs.

ii. Inventory

Obtain and read an analysis of Target's inventory and inquire about:
- Book-to-physical count, valuation, and any obsolescence risk for all relevant inventory accounts; and
- Significant purchase commitments and product financing arrangements with customers and/or suppliers

iii. Costs and profit in excess of billings / Billings in excess of cost and profit

Obtain summary of Costs and profit in excess of billings and Billings in excess of cost and profit by project/customer and comment on unusual items, fluctuations and significant balances.

iv. Accounts payable and accrued expenses

Obtain and read an analysis of accounts payables and accrued liabilities, inquiring about accounts payable aging and days outstanding and accrued liabilities profile.

v. Other current assets / liabilities

Understand the nature, and valuation principles thereof.

6. Net debt / debt-like items

Summarize and comment on net debt items reported and other potential debt-like items within the transaction perimeter including:
- Operating and capital lease liabilities;
- Corporate taxes payable;
- Non-operating accruals;
- Pending or threatened litigation or investigations;
- Minimum purchase requirements;
- Potential earn-outs;
- Self-insurance;
- Post-retirement benefits;
- Unfunded pension;
- Related party liabilities;
- Warranty and repairs;
- Guarantees;
- Past-due payables;
- Other commitments, contingencies and any other material off-balance sheet transactions; and
- Other debt like items identified by other diligence workstreams (e.g. tax, legal, insurance)

7. Capital expenditure requirements

Obtain and read an analysis of historical and future capital cost requirements including:
- Capitalization policies;
- Maintenance versus growth capital expenditures;
- Other historical, deferred, and planned capital expenditures; and
- Impairment write-downs and issues.

<u>Quality of earnings roll-forward</u>

Roll-forward the above quality of earnings, net working capital and net debt analysis to the latest period (e.g. September or October 2023) made available during the diligence period.

<u>Optional procedures</u>

1. **Assistance with Transaction Documentation *(if required)***

   Review the asset purchase agreement and all relevant definitions (e.g. net working capital and debt-like item definitions and adjustment procedures).

2. **Follow-up discussions with potential lenders / insurers *(if required)***